retailstat FINANCIAL

Special Analysis

1Q Retail Update

Key Takeaways

- **Value and digital leaders outperformed**: Retailers like Walmart, Costco, and TJX saw strong gains driven by value positioning and e-commerce growth, while traditional and discretionary-heavy players lagged.
- **Macroeconomic headwinds persist**: Unpredictable tariff policy has created business uncertainty, cautious consumer spending and expected higher inflation.
- **Market bifurcation widened**: Retail winners are scaling through digital investment and capex, while weaker players continue to lose ground amid declining traffic and profitability

	Comps	Sales Change	Δ Gross Margin (bps)	Inventory Change	Quarter-End Date
U.S.					
Walmart	4.8%	2.5%	10	3.8%	4/30/25
Target	-3.8%	-2.8%	-90	11.2%	5/3/25
BJ's Wholesale	3.9%	4.8%	80	2.2%	5/3/25
Costco	8.0%	8.0%	60	6.7%	5/11/25
Dollar General	2.4%	5.3%	80	-5.0%	5/2/25
Best Buy	-0.7%	-4.8%	10	-0.6%	5/3/25
Kohl's	-3.9%	-4.1%	40	1.8%	5/3/25
Macy's	-1.2%	-5.1%	-	0.5%	5/3/25
Gap	2.0%	2.2%	60	7.4%	5/3/25
Urban Outfitters	4.8%	10.7%	240	14.6%	4/30/25
Abercrombie	4.0%	7.5%	440	20.7%	5/3/25
TJX	3.0%	5.1%	-50	14.6%	5/3/25
Ross	0.0%	2.6%	-	8.5%	5/3/25
Foot Locker	-2.6%	-4.8%	-60	0.4%	5/3/25
Academy	-3.7%	-0.9%	60	15.0%	5/3/25
Dick's Sporting Goods	4.5%	5.2%	40	11.5%	5/3/25
Home Depot	-0.3%	9.4%	-30	14.9%	5/4/25
Lowe's	-1.7%	-2.0%	20	0.6%	5/2/25
McDonald's	-3.6%	-3.5%	-	10.9%	3/31/25
Chipotle	-0.4%	6.4%	-40	9.1%	3/31/25
Bloomin'	-0.5%	-12.2%	10	-7.1%	3/30/25
Kroger	3.2%	-0.3%	100	41.4%	5/24/25
Albertsons	2.3%	2.5%	-40	-0.8%	2/22/25
Amazon	N/A	8.6%	120	15.1%	3/31/25
Wayfair	N/A	0.0%	70	11.1%	3/31/25

The U.S. retail sector posted mixed results in 1Q25, with value-oriented and digital-forward retailers continuing to lead while traditional and discretionary-heavy players struggled. Both low- and high-income consumers are increasingly focused on value. Across most categories, inflationary pressures, cautious spending, and tariff uncertainty have impacted performance, driving shifts in strategy and channel prioritization.

Mass merchants and warehouse clubs delivered robust growth. Costco, Walmart and BJ's all delivered solid mid-single digit comps growth driven by their strong value positioning and increased e-commerce penetration. Walmart notably turned a profit in its online business, and digital sales at BJ's and Costco surged 35% and 15.7%, respectively. Given its higher exposure to discretionary goods, Target lagged with comps off 3.8%, although it did see strength in digital fulfillment (+4.7%). Dollar stores also benefited from trade-down traffic, with Dollar General raising guidance despite tariff concerns. Dollar Tree completed its sale of the underperforming Family Dollar to private equity firm Brigade Capital.

Off-price outperformed traditional department stores once again. TJX and Burlington (sales up 5.1% and +6.1%) led the way, supported by store expansion and disciplined sourcing. In contrast, Macy's and Kohl's continued to lose momentum. Macy's is proceeding with plans to close 150 stores, while Kohl's has announced 27 closures to date. Given Kohl's ongoing operational decline, additional closures may be forthcoming while it is once again searching for a CEO. JCPenney posted lower sales despite modest cost-driven margin improvements, while Nordstrom, prior to going private, showed signs of recovery with positive comps and healthy liquidity. Looking ahead, department stores are among the hardest hit by tariffs. Although luxury may be less affected by price increases, performance has weakened as aspirational shoppers cut back on spending—an unfavorable trend for Saks.

Specialty apparel overall remained challenged, although brands with distinct assortments like Abercrombie, Urban Outfitters, and Citi Trends posted gains (+4 to 10%). Mid-tier and value-focused players such as The Children's Place (-13.6%) and American Eagle (-3%) struggled with weaker traffic and promotional inefficiencies. Tariff-driven sourcing shifts and tighter cost control efforts remain top of mind heading into 2H25.

In the restaurant sector, traffic softened across both QSR and casual dining, driven by price fatigue and broader macro pressure. McDonald's (-3.6%), Chipotle (-0.4%), and Wendy's (-2.8%) saw comps decline, while value-driven concepts like CAVA (+10.8%) and Taco Bell (+9%) gained share.

The consumer electronics category continued to contract as consumers delayed upgrades. Best Buy's comps dipped 0.7%, while Office Depot saw steeper declines (-5%).

Home improvement showed early signs of stabilization. Home Depot's U.S. comps were essentially flat (+0.2%), while Lowe's moved to close its gap with the pro market through the acquisition of Artisan Design Group. Strategic M&A activity, including Home Depot's purchase of GMS Inc., reflects a broader push to consolidate and win higher-spending contractor business. While big-ticket discretionary categories remain weak amid tariff concerns, online sales and pro demand provided pockets of strength.

Sporting goods retailers showed signs of improved momentum, but that trend may be short-lived. Dick's Sporting Goods posted solid results and made headlines with its $2.4B acquisition of Foot Locker. Other players like Sportsman's Warehouse and Camping World saw signs of stabilization, but Big 5 struggled sharply, leading up to its acquisition by Worldwide Golf. Academy Sports faced pressure from new store costs and brand launches, while industry-wide concerns around tariff-driven price hikes loom over 2H demand.

Grocery remained resilient, with consumers turning to private labels and e-commerce to manage inflation. Private label growth outpaced national brands, and online grocery sales are on the rise, led by Kroger's 15% increase in digital sales. Following the collapse of the Kroger—Albertsons merger, consolidation activity remains active across regional and independent grocers.

E-commerce sales continue to outpace brick and mortar retail. Online sales rose 6.1% YoY, now comprising 16.2% of total retail. Both Walmart and Amazon are ramping up their capex to advance fulfillment capabilities, while Chewy grew Autoship sales to 82% of total.

In sum, the 1Q25 retail landscape reflected a clear bifurcation: retailers leaning into value, speed, and operational agility gained share, while legacy formats and discretionary-heavy models struggled. Those winning in the current environment—namely Walmart, Amazon, and growing off-price retailers—are ramping up capital spending to position themselves for the future. Their investments are centered on digital sales and technology infrastructure, as they navigate challenges from erratic tariff policies, rising inflation, weakening consumer sentiment, and a softening labor market.

Mass Merchandisers

The broader mass sector posted solid gains in 1Q25, with average U.S. comp growth of 4.2%, though Target continued to lag amid discretionary softness. Excluding Target's —3.8% comp decline, the sector averaged a stronger 5.2% gain. Longtime outperformers continued to extend their lead, with Walmart U.S. (+4.5%), Sam's Club (+6.7%), Costco U.S. (+7.9%), and BJ's (+3.9%) all delivering strong comp growth (ex-fuel), fueled by ongoing consumer demand for value and convenience across income levels. Ecommerce remained a key focus and growth engine. Walmart turned a profit in its e-comm business for the first time, citing improved route densification and expanding omnichannel scale. One-third of store deliveries were fulfilled in under three hours (for added fee), highlighting consumer appetite for speed and flexibility, particularly among higher-income shoppers. BJ's saw e-commerce sales rise 35% (+56% on a two-year stack), driven by increased adoption of curbside pickup, BOPIC, ExpressPay and same-day delivery. Costco posted 15.7% e-commerce growth, led by strength in gold and jewelry, toys, home furnishings and small appliances. Target saw modest digital growth of 4.7%, one of the few bright spots in an otherwise challenging quarter, as consumer preferences continued shifting toward convenience-based fulfillment. Dollar stores also reported solid results, benefiting from elevated trade-down activity as lower-income consumers remained under financial pressure. Dollar Tree's results exclude Family Dollar, which had weighed on performance; the sale of Family Dollar closed on July 7 for $1 billion ($800 million in net proceeds). The divestiture positions Dollar Tree to focus on its higher performing 3.0 store formats, which now represent roughly 39% of the chain and have consistently outpaced legacy locations. Dollar General raised its FY25 guidance following stronger-than-expected 1Q results but flagged increased tariff uncertainty. The current outlook assumes tariff rates remain unchanged through mid-August, with mitigation efforts underway, though management warned that further escalation could weigh on consumer demand later this year.

Five Below started FY25 with a sharp rebound, posting 7.1% comp growth and modestly raising its full-year outlook. Margin expansion was driven by better seasonal inventory alignment, higher initial markups and lower markdowns, along with continued contribution from higher-margin Five Beyond products. EBITDA rose 38%, and margin expanded 140 bps to 11.1%. Ollie's added 25 stores in 1Q25—more than one-third of its 68-store YOY increase—with many new locations coming from Big Lots closures, underscoring its opportunistic approach to retail shakeouts. Despite some weather-related softness in seasonal categories, comps rose 2.6%, supported by solid core demand. Margin pressure from dark rent and pre-opening costs bears watching, but the company remains well-positioned to take share in a fragmented closeout space. Looking ahead, we expect the sector to remain bifurcated, with value-focused retailers continuing to outperform and results should see a seasonal lift from back-to-school shopping.

Department Store & Off-Price Apparel

With the full impact of tariffs yet to materialize, department store retailers delivered mixed results in the first quarter of FY25, with off-price operators once again outperforming traditional players. Value-focused consumers continued to favor lower-priced alternatives, driving strong sales growth at TJX and Burlington, which posted increases of 5.1% and 6.1%, respectively. Ross saw more modest growth of 2.6%. These gains were largely fueled by ongoing store expansion across all three chains. Comparable sales were flat at Burlington and Ross, while TJX reported a 3% increase. Profitability trends among off-price retailers were mixed but generally stable. Ross sustained steady margins despite tariff and freight pressures, while Burlington delivered strong EBITDA growth driven by improved gross margin and SG&A leverage. TJX experienced modest margin compression due to hedge-related adjustments and higher labor costs, though overall profit levels remained healthy. The off-price model remains well positioned, supported by lean inventory levels and a nimble sourcing strategy that provides flexibility in navigating ongoing tariff pressures.

In contrast, traditional department stores continued to face headwinds. Macy's reported a 5.1% sales decline, largely attributed to weaker comparable sales and ongoing store closures at its core Macy's banner. However, the Company's upscale divisions provided a partial offset, with Bloomingdale's and Bluemercury posting comp gains of 3.8% and 1.5%, respectively. Macy's EBITDA also declined, pressured by lower sales and elevated delivery costs.

Kohl's extended its streak of underperformance, with another quarter of declining sales and comps as it remains stuck in a prolonged turnaround. Continued executive turnover has weighed on momentum, and the Company is now searching for its fourth CEO in as many years. Its FY25 guidance points to further deterioration in both sales and profit margins, leading us to speculate that more store closures are planned (27 were closed in FY25). JCPenney also reported lower sales, though it achieved modest profitability improvements driven by cost-cutting measures—a strategy that is unlikely to be sustainable over the long term. Like Kohl's, JCPenney closed underperforming stores (seven so far in FY25), with additional closures likely ahead.

The broader sector remains under pressure from shifting consumer preferences, heightened competition from digital and off-price channels, and the ongoing need for structural change. Tariff-related uncertainty continues to cast a shadow over the near-term outlook. With the August 1 deadline fast approaching and little progress since "Liberation Day," the risk remains that tariffs could rise above the current 10% universal rate, adding further cost pressure to already-strained retailers.

Prior to going private in May, Nordstrom was showing signs of a sales rebound, with both its namesake and Rack banners posting positive comps. While the go-private transaction added leverage—bringing estimated debt-to-EBITDA close to 3x—the post-merger balance sheet appears manageable. Liquidity remains strong, and the Company is expected to continue generating positive free cash flow. Growth efforts remain concentrated on the Rack banner, with approximately two dozen new store openings planned for 2025.

The sector remains under pressure from evolving consumer preferences, the expansion of off-price and digital competitors, and internal restructuring efforts. Tariff uncertainty continues to loom large, with the August 1 deadline approaching. Absent meaningful progress since "Liberation Day," the risk remains that tariffs could climb above the current 10% universal rate.

Apparel

Specialty apparel sales were mixed in 1Q25, as inflation, cautious discretionary spending, and intensified promotions created an uneven operating environment. Average omnichannel comparable sales declined 1%, in line with the 1.1% drop a year earlier. Digital and direct-to-consumer channels continued to outperform stores, but even online sales dipped 0.5% on average, reflecting broad-based demand pressure. Retailers with differentiated assortments and strong brand positioning, such as Abercrombie & Fitch, Urban Outfitters, Zumiez, and Citi Trends reported solid comp growth of 4% to 10%, supported by early merchandise buys, disciplined promotions, and pricing power. Meanwhile, middle-tier performers, including The Buckle, Gap, and Lululemon, saw modest growth of 1% to 3%, though Lululemon's gains were largely international.

In contrast, value-oriented and lower-income-focused brands underperformed. The Children's Place posted the steepest comp decline at -13.6%, citing weaker store traffic, a higher e-commerce shipping threshold, and structural challenges. Carter's, J.Jill, Destination XL, and Tilly's also reported meaningful comp declines amid clearance activity and weak traffic. American Eagle posted a surprising 3% comp drop and recorded a $75 million inventory write-down tied to merchandising missteps. Victoria's Secret reported a 1% comp decline, driven by a 3% drop in digital sales.

Heading into 2H25, tariff-related cost pressure remains a concern. Many retailers have shifted sourcing away from China to Vietnam, India, and Central America, and are pursuing cost controls, selective price increases, or renegotiated vendor terms. Retailers with clean balance sheets, supply chain agility, and clear value propositions—such as Gap, Urban Outfitters, and Lululemon—are better positioned to protect margins and gain share, while smaller, less flexible players may remain vulnerable in a cautious demand environment.

Restaurants

Restaurant sales growth slowed during 1Q25 as broader customer traffic trends remained weak due to concerns about retail inflation and pushback over higher menu prices. Month-to-month sales trends were uneven, with U.S. Census Bureau data indicating that food services and drinking places sales grew 7.4% in January, followed by a 1.5% increase in February that then rebounded to a 6.3% improvement in March. Many restaurant chains continued to revamp their promotions and value menus and invest in brand-building and marketing to bolster traffic and grow share, to mixed success. Among the QSR/Fast Casual categories, several major operators reported low-to-mid-single digit comp declines, including McDonald's (-3.6%), Wendy's (-2.8%), Jack in the Box (-4.4%) and Starbucks (-1%). McDonald's launched a new value menu in January, but guest counts were down for the quarter, particularly among lower-income consumers. Chipotle comps (-0.4%) were negative for the first time since early 2020 due to a 2.3% drop in transactions. Some chains saw positive comps, including CAVA (10.8%) and Yum (3%), with the latter including 9% and 2% increases at Taco Bell and KFC, respectively. Mixed trends were also seen in the traditional full-service category. Brinker's Chili's banner led with 25.9% comp growth on the success of its "3 for Me" and other promotions. Similar promotions from other chains have been less effective, with Cracker Barrel (1%), The Cheesecake Factory (0.7%) and Shake Shack (0.2%) generating soft comp growth driven by price increases that were partially offset by traffic declines. Others remained in the red, including Dine Brands' Applebee's (-2.2%) and Denny's (-3%).

Electronics

The consumer electronics industry remains under pressure in 2025, as macroeconomic headwinds and shifting consumer priorities continue to weigh on discretionary spending. While some retailers are cautiously optimistic that demand may have reached a low point, the recovery has been slow and uneven across the board. Following years of elevated purchases, retailers are still digesting the aftermath of demand pull-forward during the pandemic, with many consumers delaying replacement cycles for larger ticket items such as TVs, laptops and smartphones as their existing devices remain functional. Best Buy's recent results reflect the broader industry trends, with 1Q sales and comps declining 0.9% and 0.7%, respectively, with the largest drivers of the comp decline being home theater, appliances, and drones, slightly offset by improvements in computing and mobile phone categories. Performance is even worse at Office Depot, which saw 1Q sales and comps decline 9% and 5%, respectively, largely attributed to its shrinking ODP business, which closed 46 locations from the prior year. Adding to uncertainty is the potential for tariffs on select electronics and components imported from China and other overseas suppliers; Best Buy similarly noted "we expect our vendors… will pass along some level of tariff costs to retailers, making price increases for American consumers highly likely". For the same reason, Best Buy revised its annual sales and profit guidance downward for the year. Despite near-term challenges, retailers are betting on a gradual recovery supported by aging product bases, holiday promotions, and emerging categories such as AI-powered devices, wearables, and connected home tech. However, meaningful growth in the sector will likely remain constrained until macro conditions improve and innovation cycles accelerate.

Home Improvement

In 1Q25, the home improvement sector showed signs of stabilization despite continued macroeconomic challenges, including elevated interest rates, soft big-ticket discretionary spending, and persistent tariff concerns. While Home Depot CEO Ted Decker noted the Company saw continued customer engagement across smaller projects and in spring events. Home Depot's comparable sales were down 0.3% (up 0.2% in the U.S.), with average comp ticket flat, and comp transactions down 0.5%. Big-ticket comp transactions (over $1,000) were up 0.3% on solid performance in categories such as building materials, lumber and hardware. However, there was softer engagement in larger discretionary projects where customers typically use financing to fund the project, such as kitchen and bath remodels. Finally, online sales represented 15.5% of net sales in 1Q25 and increased 10.9%. As for Lowe's, the April announcement that it would acquire Artisan Design Group (ADG) was a significant step to increase its own penetration of Pro customer spending and better position itself to gain share in a highly fragmented $50-billion market. Management believes that with an estimated 18 million homes needed in the U.S. by 2033, new home construction should be a major driver of Pro plan spend over the next decade. ADG, a nationwide provider of interior surface design, distribution, and installation services, will help Lowe's better compete in professional finish categories such as flooring, cabinetry, and countertops—narrowing the Pro share gap with Home Depot. Meanwhile, M&A activity is expected to remain robust throughout 2025, with strategic transactions like Lowe's purchase of ADG and Home Depot's June 2025 agreement to buy GMS Inc. (GMS), a leading North American specialty building products distributor for $5.50 billion. These deals reflect ongoing efforts to consolidate market share and enhance service offerings to high-value contractor customers. Paint retailer Sherwin Williams was the only retailer in our coverage to generate positive comps, up 1.2%, reflecting the benefit of higher pricing and growth in protective/marine coatings, residential repaint, and new residential business. Meanwhile, The Tile Shop posted the weakest numbers among home improvement retailers in the group, reporting a 4% decline in sales and comps due to a decrease in traffic, partially offset by a modest increase in average order value.

We believe the sector's medium- to long-term outlook remains strong, supporting robust M&A activity going forward, but the near-term macroeconomic backdrop is less certain. While the Federal Reserve maintained the federal funds rate at 4.25% to 4.50% in June 2025 and is projected to hold steady at their upcoming meeting in July, some economists now anticipate potential rate cuts could begin as early as September 2025. Despite these projections for potential easing, the threat of new tariffs could still reignite inflation. Finally, according to the Leading Indicator of Remodeling Activity (LIRA), annual expenditures for improvements and maintenance to owner-occupied homes are now expected to grow by 2.5% through 1Q26, reaching a record $526 billion, driven by a modest recovery in the sector.

Sporting Goods

The sporting goods sector showed signs of renewed momentum in 1Q25, with average sales up 1% and comps turning modestly positive. However, the improvement may be short-lived, as consumers may have pulled forward purchases ahead of anticipated tariff-driven price hikes.

Dick's Sporting Goods continues to outperform in the sector, posting solid comparable sales growth, though outdoor gear remains a drag. In a surprise move, management announced the $2.4 billion acquisition of struggling Foot Locker. While met with investor skepticism, Dick's pointed to potential cost synergies and long-term growth opportunities, including an expanded global footprint and deeper vendor partnerships. The Company aims to revitalize Foot Locker through exclusive footwear offerings and a stronger apparel mix. Meanwhile, Dick's remains focused on investing in its stores and omnichannel platform, including the rollout of new House of Sport and remodeled DICK'S Field House formats.

Sportsman's Warehouse posted its first quarter of positive comps in four years, up 2%, though still down 12% on a two-year stacked basis and EBITDA remained negative in the quarter. Big 5 Sporting Goods continued to struggle, with comps down 7.8%, widening EBITDA losses, and tighter liquidity due to high inventories and increased revolver borrowings. The accelerating deterioration in performance led to a downgrade to an E2 credit rating. Following quarter-end, on June 30, Big 5 agreed to be acquired by Worldwide Sports Group Holdings for $1.45 per share in cash, implying an enterprise value of $113 million.

Academy Sports also posted soft 1Q25 results, with comps down 3.7% and EBITDA down 22%, pressured by elevated SG&A tied to new store openings and the Jordan Brand launch. Still, the company maintained a solid credit profile, supported by over $100 million in free cash flow. Management revised the low end of FY25 guidance to reflect potential tariff impacts but kept the high end unchanged.

Camping World, by contrast, showed improving momentum in 1Q25, with sales up 3.6%, driven by strong used vehicle demand and tighter cost controls that nearly doubled EBITDA. While management downplayed the risk of demand pull-forward, strong March and April performance may reflect accelerated buying ahead of tariff-driven pricing.

Despite the signs of green shoots, the outlook remains uncertain amid rising tariffs and escalating trade tensions. U.S. Census data showed sporting goods sales fell 2.2% in April, following a 1.2% decline in March.

Grocery

In 1Q25, grocery shoppers continued to battle stubbornly high prices while seeking convenience and value. Inflation remained a challenge for many households, prompting consumers to seek more budget-friendly options, including private label products, and fueling the ongoing surge in online grocery shopping, which has allowed shoppers to easily compare prices, browse wider selections, and potentially find better deals online. In 1Q25 U.S. private label grocery sales continued to outperform national brands, with dollar sales rising approximately 5% and unit sales up 0.9%, compared to just 0.8% growth and a 1.1% decline, for national brands. Private labels captured 21.5% of grocery dollar share and 23.7% of unit share, reflecting growing consumer preference for store brands amid ongoing inflation. Nearly all U.S. households purchased private label items, with 75% citing good value and 72% viewing them as acceptable alternatives to name brands. Retailers responded by expanding their store brand offerings. Kroger is introducing over 900 new items this year, and Sprouts increased its private label sales mix to 24%. The trend confirms that store brands have evolved from budget substitutes into key strategic growth drivers across the grocery sector. At the same time, e-commerce grocery continued its rapid ascent, with monthly online grocery sales often exceeding $9.5 billion. March sales totaled $9.7 billion (up 21% YoY), while April and June each reached $9.8 billion (+15% and +27.6% YoY, respectively). Notably, ship to home continues to gain strength, rising almost 33% in June. Kroger, a leader in the online grocery space, reported a 15% jump in digital sales, its 12th consecutive quarter of double digit digital growth reinforcing the notion that consumer habits are shifting toward digital-first grocery shopping. We also note that the natural and organic food sector continues to grow faster than the conventional grocery industry, with natural and organic grocers experiencing higher growth rates in store visits and sales. However, they still represent a relatively small share of total grocery sales (~5%—6%).

Notwithstanding the collapse of the Kroger-Albertsons merger, we believe the sector will see continued M&A activity, particularly among regional supermarkets and independent, family-owned grocers, as the cloud of that deal has now settled. This consolidation will not be nearly as massive or complex as Kroger—Albertsons, but rather more along the lines of recently announced deals including C&S' acquisition of SpartanNash and the C&S led consortium (including Southeastern Grocers CEO) to acquire 170 Winn Dixie and Harveys Supermarket locations from Aldi U.S. Lastly, unit-level expansion continues among a handful of grocery players. Aldi is on pace to expand its store count to approximately 3,200 locations by the end of 2028 and Walmart plans to add 150 new stores in the U.S. over the next five years. Other notable players include Sprouts, Publix and Lidl. On the other hand, although the sector is overall in growth mode, we still expect closures and store pruning where necessary, including by Kroger, which plans to shutter about 60 underperforming locations over the next 18 months and reinvest in higher performing stores.

Online Retailers

Online shopping remains a key focus and driver of retail growth, fueled by both pure-play e-commerce players and traditional retailers enhancing their digital capabilities through store-based fulfillment. However, with discretionary remaining soft, much of the gains continue to come from essential purchases. In 1Q25, U.S. online sales rose 6.1% YOY and accounted for 16.2% of total retail sales, up from 15.9% in the prior year (U.S. Census data). The most notable headline came from Walmart, which turned a profit in its online business for the first time, citing improved route densification and growing omnichannel scale. One-third of store deliveries were fulfilled in under three hours (for a fee), underscoring rising consumer demand for speed and flexibility, particularly among higher-income shoppers. Discount Club BJ's Wholesale saw e-commerce sales rise 35% (+56% on a two-year stack), driven by increased adoption of curbside pickup, BOPIC, ExpressPay and same-day delivery. Similarly, Costco posted 15.7% e-commerce growth, led by strength in gold and jewelry, toys, home furnishings, and small appliances.

Amazon reported paid unit growth of 8% in 1Q25, supported by continued investments in customer experience through expanded selection, pricing and faster delivery. These efforts have driven increased order frequency and larger basket sizes among Prime members. Notably, Amazon delivered more same-day or next-day items than in any prior quarter, highlighting the strength of its regionalized fulfillment network. Everyday essentials grew more than twice as fast as the rest of the business and made up approximately one-third of all U.S. units sold. Chewy reported a similar 8% gain with its Autoship business now accounting for a whopping 82% of sales. Grocery operators with strong online platforms also continued to advance with Kroger, Albertsons, Food Lion and Sprouts all reporting double-digit online gains as consumers continued to prioritize convenience.